26NNCV01039 26NNCV01039

County: los-angeles

Division: Civil Law and Motion

Department: P

Hearing date: 2026-07-10

Source URL: https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=PAS%2CP%2C07%2F10%2F2026

Source SHA-256: ec353fdd026b8db1aa069837458b96d3ee916693ddff3225bd433a0e753ddf29

Case Number: 26NNCV01039 Hearing Date: July 10, 2026 Dept: P

[TENTATIVE] ORDER SUSTAINING DEFENDANTS MICHAEL BRANDON AND ARBI GRIGORYAN'S DEMURRERS WITH 20 DAYS' LEAVE TO AMEND

I. INTRODUCTION

Plaintiff Azat Gezalyan ("Plaintiff") filed the instant action against Defendants Michael Brandon, Arbi Grigoryan, Loopnet Ten X – auctioneer, Cheri Mascitelli, and Does 1 through 20 alleging causes of action for (1) Breach of Fiduciary Duty, (2) Negligent Misrepresentation, (3) Fraud by Concealment, (4) Failure to Disclose Material Facts, (5) Unfair Business Practices (Bus. & Prof. Code, § 17200 et seq.), (6) Civil Conspiracy, and (7) Declaratory and Injunctive Relief, arising from the marketing and proposed sale of commercial real property located at 11150 Ventura Boulevard, Studio City, California.

On March 20, 2026, Defendant Michael Brandon filed the instant demurrer. Plaintiff filed an opposition on April 27, 2026, and Brandon filed a reply on July 2, 2026.

On April 8, 2026, Defendant Arbi Grigoryan filed the instant demurrer. Plaintiff filed an opposition on April 26, 2026. No reply was filed.

Request for Judicial Notice

Plaintiffs request:

Plaintiff requests judicial notice of

Exhibit 5, a Trustee's Deed Upon Sale recorded on March 26, 2026.

Exhibit 6, the Amended Operating Agreement of Shapiro Ventures LLC.

Exhibit 7, the Statement of Information for Shapiro Ventures LLC filed with the California Secretary of State.

and Exhibit 8, the April 4, 2025, order in Sarkis Gezalyan v. Azat Gezalyan, Los Angeles Superior Court Case No. 24NNCV01970.

As to Exhibits 5 and 6, Plaintiff's request for judicial notice is DENIED. As to Exhibits 7 and 8, Plaintiff's request is GRANTED pursuant to Evidence Code section 452, subdivisions (c) and (d).

Defendants request:

Defendant Michael Brandon request judicial notice of

Exhibit A, the Modified Order of Ex Parte Hearing filed August 15, 2025, in Sarkis Gezalyan v. Azat Gezalyan, et al., Los Angeles Superior Court Case No. 24NNCV01970.

Exhibit B, the December 19, 2025, Minute Order in that action.

Exhibit C, Plaintiff Azat Gezalyan's Declaration filed February 18, 2026, in this action.

Exhibit D, Defendants Ten-X, LLC and Cheri Mascitelli's Response to Plaintiff's Ex Parte Application filed February 20, 2026, in this action.

and Exhibit E, the February 20, 2026, Minute Order in this action.

Defendant's requests are GRANTED pursuant to Evidence Code section 452, subdivision (d).

II. LEGAL STANDARD

A demurrer tests the legal sufficiency of a complaint. Donabedian v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994. A plaintiff’s allegations must be accepted as true for purposes of demurrer, no matter how “improbable” they are. (Del E. Webb Corp. v. Structural Materials Co. (1981) 123 Cal.App.3d 593, 604 (Del E. Webb).) Allegations need not be accepted as true if they are contradicted by judicially noticeable facts. (Cansino v. Bank of America (2014) 224 Cal.App.4th 1462, 1474.)

Pleadings are to be broadly construed (Code Civ. Proc., § 452) and demurrers are to be overruled where the facts are sufficient to state any cause of action. (Quelimane Co. v. Stewart Title Guaranty Co. (1998) 19 Cal.4th 26, 38.)

III. ANALYSIS

As a preliminary matter, the judicially noticed records in the related action, 24NNCV01970 Sarkis Gezalyan v. Azat Gezalyan, reflect that many of Plaintiff's allegations arise from the court-authorized marketing and proposed sale of the subject property. (JN, Exhs. A-C.) Nevertheless, the Court addresses the demurrers on their merits.

The Court considers the demurrers of Defendants Brandon and Grigoryan (collectively, “Defendants”) together because both demurrers challenge Plaintiff's standing and the legal sufficiency of each of the seven causes of action asserted in the Complaint. The Court addresses each issue in turn below.

Standing

Defendants argue Plaintiff lacks standing because the subject property is owned by Shapiro Ventures LLC and any claims therefore belong to the LLC rather than Plaintiff individually. (Demurrers, pp. 7, 10.) The Complaint, however, does not allege that the property is owned by Shapiro Ventures LLC. Rather, Plaintiff alleges that he is a 50% legal owner of the property. (Complaint, ¶ 1.) At the demurrer stage, the Court accepts the properly pleaded allegations of the Complaint as true. The Court therefore cannot conclude, as a matter of law, that Plaintiff lacks standing based on facts outside the Complaint.

First Cause of Action - Breach of Fiduciary Duty

To state a claim for breach of fiduciary duty a plaintiff must plead “the existence of a fiduciary relationship, its breach, and damage proximately caused by that breach.” (Thomson v. Canyon (2011) 198 Cal.App.4th 594, 604.)

Defendants argue the first cause of action fails because the Complaint does not allege the existence of a fiduciary relationship between Plaintiff and either Defendant. (Brandon Demurrer, pp. 7-8; Grigoryan Demurrer, p. 11.) Defendants contend any fiduciary duties were owed only to their clients, not to Plaintiff. (Ibid.) Defendants further argue the Complaint fails to allege breach or resulting damages. (Ibid.)

The Court finds the first cause of action fails to state facts sufficient to constitute a claim for breach of fiduciary duty. Although the Complaint alleges Defendants owed Plaintiff fiduciary duties, it alleges no facts establishing the existence of a fiduciary relationship between Plaintiff and either Defendant. (Complaint, ¶ 21-26.) A conclusory allegation of a fiduciary duty, without supporting facts, is insufficient to state a claim.

Further, the judicially noticed court orders reflect that Defendants were retained pursuant to court order to list the property on behalf of Sarkis Gezalyan. The Complaint does not allege facts showing that Defendants also undertook to represent Plaintiff or otherwise owed fiduciary duties to him.

Thus, the Court SUSTAINS the demurrer as to this cause of action with 20 days’ leave to amend.

Second Cause of Action - Negligent Misrepresentation

The elements of a claim for negligent misrepresentation are “‘[M]isrepresentation of a past or existing material fact, without reasonable ground for believing it to be true, and with intent to induce another's reliance on the fact misrepresented; ignorance of the truth and justifiable reliance on the misrepresentation by the party to whom it was directed; and resulting damage… [citation omitted]” (Hydro-Mill Co. Inc. v. Hayward, Tilton & RolappIns. Associates, Inc. (2004) 115 Cal.App.4th 1145, 1154 [citation omitted].)

Here, Defendants argue this cause of action fails because the Complaint does not identify any specific false representation made by either Defendant. (Brandon Demurrer, pp. 8-11; Grigoryan Demurrer, pp. 11-12.)

The Court finds the second cause of action fails to state facts sufficient to constitute a claim for negligent misrepresentation. Although the Complaint alleges that "Defendants made representations, including statements about the auction process and Ten-X platform, that were false or misleading" (Complaint, ¶ 24), it does not identify which Defendant made the statements, what specific statements were false, or why they were false. Instead, the allegations largely concern Defendants' alleged failure to disclose information. Those allegations are insufficient to state a claim for negligent misrepresentation, which requires a positive misrepresentation of a material fact.

Thus, the Court SUSTAINS the demurrer as to this cause of action with 20 days’ leave to amend.

Third and Fourth Causes of Action - Fraud by Concealment and Failure to Disclose Material Facts

“ ‘ [T]he elements of an action for fraud and deceit based on concealment [or nondisclosure] are: (1) the defendant must have concealed or suppressed a material fact, (2) the defendant must have been under a duty to disclose the fact to the plaintiff, (3) the defendant must have intentionally concealed or suppressed the fact with the intent to defraud the plaintiff, (4) the plaintiff must have been unaware of the fact and would not have acted as he did if he had known of the concealed or suppressed fact, and (5) as a result of the concealment or suppression of the fact, the plaintiff must have sustained damage.’ ” (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 748.)

Here, Defendants argue this cause of action fails because the Complaint does not allege facts establishing that either Defendant owed Plaintiff a duty to disclose, intentionally concealed a material fact or that Plaintiff relied on any alleged concealment. (Brandon Demurrer, pp. 10-11; Grigoryan Demurrer, pp. 12-13.)

The Court agrees. Both causes of action are premised on Defendants’ alleged failure to disclose information relating to the marketing and auction of the property. The Complaint alleges Defendants concealed material information, but it does not allege facts establishing that either Defendant owed Plaintiff a duty to disclose, what material facts were concealed, or that Plaintiff relied on the alleged concealment. Instead, the allegations consist of conclusory assertions that Defendants withheld information, which are insufficient to state a claim for fraud by concealment.

Thus, the Court SUSTAINS the demurrer as to the third and fourth causes of action with 20 days’ leave to amend.

Fifth Cause of Action - Violation of Business and Professions Code Section 17200 (Unfair Competition)

To set forth a claim for a violation of Business and Professions Code section 17200 (“UCL”), Plaintiff must establish Defendant was engaged in an “unlawful, unfair or fraudulent business act or practice and unfair, deceptive, untrue or misleading advertising” and certain specific acts. (Bus. & Prof. Code, § 17200.) A cause of action for unfair competition “is not an all-purpose substitute for a tort or contract action.” (Cortez v. Purolator Air Filtration Products Co. (2000) 23 Cal.4th 163, 173.)

Here, Defendants argue this cause of action fails because Plaintiff has not shown facts showing unlawful, unfair or fraudulent business practices. The Court agrees. The Complaint does not allege facts establishing an unlawful, unfair, or fraudulent business practice within the meaning of Business and Professions Code section 17200. As discussed above, the Complaint fails to adequately allege the underlying violations on which the UCL claim is based.

Thus, this cause of action is SUSTAINED with 20 days’ leave to amend..

Sixth Cause of Action - Civil Conspiracy

As preliminary matter, the Court notes conspiracy is not a cause of action but a theory of liability. (See Moran v. Endres (2006) 135 Cal.App.4th 952, 954-55.) “Although conspiracy to commit a tort is not a separate cause of action from the tort itself, alleging a conspiracy fastens liability on those who agree to the plan to commit the wrong as well as those who actually carry it out.” (Stueve Bros. Farms, LLC v. Berger Kahn (2013) 222 Cal.App.4th 303, 323.) “The elements of a civil conspiracy are the formation and operation of the conspiracy and damage resulting to plaintiff from an act done in furtherance of the common design.” (Id.)

Here, the Complaint alleges Defendants agreed to withhold disclosures, proceed with a non-transparent auction, and shift responsibility among themselves to avoid accountability. (Complaint, ¶¶ 34-36.) However, the Court finds the sixth cause of action fails because civil conspiracy is not an independent cause of action, but rather a theory of liability. Moreover, the Complaint alleges only conclusory assertions of an agreement among Defendants and fails to adequately plead the underlying tort claims on which the conspiracy theory is based.

Thus, the demurrer as to this cause of action is SUSTAINED without leave to amend.

Seventh Cause of Action – Declaratory and Injunctive Relief

As a preliminary matter, the Court notes that injunctive relief is a remedy, not an independent cause of action. Thus, the demurrers are SUSTAINED as to the request for injunctive relief.

Code of Civil Procedure section 1060 permits a party to seek declaratory relief where an actual controversy exists relating to the legal rights and duties of the parties. (Code Civ. Proc., § 1060.) To state a claim for declaratory relief, a plaintiff must allege an actual, present controversy involving justiciable questions relating to the parties' rights or obligations. (Jolley v. Chase Home Finance, LLC (2013) 213 Cal.App.4th 872, 909.)

Here, Plaintiff seeks a declaration of the parties' rights and an injunction prohibiting any sale or auction of the property unless full written disclosures are provided and alleged conflicts are cured. (Complaint, ¶ 37.) However, the Complaint does not allege facts establishing an actual controversy that is separate and distinct from the underlying tort claims. Rather, the request for declaratory relief is entirely derivative of those claims. Because the Court finds the underlying causes of action are not sufficiently pleaded, the claim for declaratory relief likewise fails.

Thus, demurrer as to declaratory relief is SUSTAINED with 20 days' leave to amend.

IV. CONCLUSION AND ORDER

The Court SUSTAINS Defendants' demurrers with 20 days' leave to amend, except as to the conspiracy cause of action. As to that cause of action, the demurrers are sustained without leave to amend.

Defendants are to give notice.

Dated: July 10, 2026

JARED D. MOSES

JUDGE OF THE SUPERIOR COURT